

Table 3 summarises the performance of the 12 decomposed sub-portfolios under three trend-following categories using $(j, h) = \{(12, 1), (12, 3), (12, 6), (12, 12)\}$ double-sorting periods. As suggested by the Newey–West t-statistics, the realised winner and the contrarian loser sub-portfolios produce statistically significant returns at a 1% level in all cases, regardless of the trend-following strategies and the ranking scheme chosen. The annualised mean returns of the realised winners range from 14.4% to 26.6%, and the returns of the contrarian losers range from 9.8% to 24.4%. The contrarian winner subgroup shows significant profits only when the (12, 1) and (12, 6) schemes are used. Finally the contrarian winner group produces hardly any statistically significant returns. The profitability of the realised winner declines as h increases. Conversely, the contrarian loser performance improves as the value of h increases.

If investors go long in realised winners and contrarian winners and go short in realised losers and contrarian losers, their positions are equivalent to a trend-following strategy (TSM or RSM) holding for 13–24 months. However, trend-following reversal strategies suggest that investors only take a long position in the realised winner and contrarian loser sub-portfolios. This means that the past trend-following winners ($j = 12$), which continue to generate profits ($h = 1 - 12$), will maintain the upward trend, while the past losers, which earn positive returns later, will also increase in the future.

In an optimum case, we can combine two specific sub-portfolios, realised winner (12, 1) and contrarian loser (12, 12), into a larger portfolio. This yields an annualised portfolio return between 21.4% and 24.4%, while the volatility is reduced as more instruments are included in the portfolio. In this study, we align the (j, h) sub-portfolios for reasons of comparability. However, practitioners can choose any combinations of different (j, h) settings to achieve portfolio diversification or profit maximisation.

Figure 6 plots the cumulative returns of the realised winner and the contrarian loser under the TSM and RSM (12, 12) frameworks. These two sub-portfolios perform